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[TENTATIVE] ORDER GRANTING PLAINTIFF MILANO'S MOTION FOR LEAVE TO FILE THE FIRST AMENDED COMPLAINT

I. INTRODUCTION

Plaintiff Milano Realty, LLC ("Plaintiff" or "Milano") brings this action against Defendants W&B Investment Group, LLC and Vincent Hung Shing Hui arising out of a dispute concerning the sale of real property located at 12138 Valley Boulevard in El Monte, California. Plaintiff alleges Defendants breached the parties' purchase agreement by failing to convey title to one of the property's two parcels, resulting in delays in refinancing and additional interest, fees, and other damages. Defendants filed a cross-complaint asserting claims for, among other things, breach of contract, negligence, indemnification, and constructive fraud.

On July 10, 2026, Plaintiff filed the instant motion for leave to file a First Amended Complaint ("FAC"). On July 30 and July 31, 2026, Defendants First American Title Company ("FATC"), Masters Realty Services, Inc. dba Premier Services ("Premier"), and W&B Investment Group, LLC and Vincent Hung Shing Hui ("W&B") filed separate oppositions. Plaintiff filed replies to the oppositions on August 5, 2026.

II. LEGAL STANDARD

Code of Civil Procedure section 473, subdivision (a) provides: "The court may, in furtherance of justice, and on any terms as may be proper, allow a party to amend any pleading or proceeding by adding or striking out the name of any party, or by correcting a mistake in the name of a party, or a mistake in any other respect; and may, upon like terms, enlarge the time for answer or demurrer. The court may likewise, in its discretion, after notice to the adverse party, allow, upon any terms as may be just, an amendment to any pleading or proceeding in other particulars; and may upon like terms allow an answer to be made after the time limited by this code." (Code Civ. Proc., § 473, subd. (a)(1); see Code Civ. Proc., § 576.)

Permissible amendments pursuant to Code of Civil Procedure section 473, subdivision (a) include amendments which add causes of action. A plaintiff that fails to plead a cause of action arising out of the transaction or occurrence that gave rise to the complaint may apply to the court for leave to amend the complaint to assert the cause of action, whether that failure was the result of oversight, inadvertence, mistake, neglect, or other cause. (Code Civ. Proc., § 426.50; see Code Civ. Proc., § 426.10, subd. (c).) The motion to amend may be filed at any time during the course of the action, on notice to the adverse party. (Id., § 426.50.)

The court has broad discretion to permit amendments to pleadings, and "the court's discretion will usually be exercised liberally to permit amendment of the pleadings." (Howard v. County of San Diego, (2010) 184 Cal.App.4th 1422, 1428.) "The

policy favoring amendment is so strong that it is a rare case in which denial of leave to amend can be justified.” (Ibid.) “If the motion to amend is timely made and the granting of the motion will not prejudice the opposing party, it is error to refuse permission to amend . . .” (Morgan v. Superior Court (1959) 172 Cal.App.2d 527, 530.) Prejudice includes “delay in trial, loss of critical evidence, or added costs of preparation.” (Solit v. Tokai Bank, Ltd. New York Branch (1999) 68 Cal.App.4th 1435, 1448.)

A motion to amend a pleading before trial must include a copy of the proposed amendment or amended pleading. (Cal. Rules of Court, Rule 3.1324, subd. (a)(1).) A motion to amend a pleading must also be supported by a declaration which specifies the following: (1) the effect of the amendment; (2) why the amendment is necessary and proper; (3) when the facts giving rise to the amended allegations were discovered; and (4) the reasons why the request for amendment was not made earlier. (Cal. Rules of Court, Rule 3.1324, subd. (b).)

III. ANALYSIS

Milano seeks for leave to file a FAC, arguing the amendment is warranted to add FATC and Premier as defendants and to assert additional causes of action arising from their alleged involvement in the underlying real estate transaction. Milano contends the proposed claims arise from the same nucleus of operative facts as the original Complaint, that the amendments will promote judicial efficiency by allowing the related claims to be adjudicated in a single action, and that the proposed defendants will not be prejudiced because both have already been involved in the litigation through the cross-actions. (Motion, pp. 2, 5-6.)

California Rules of Court, rule 3.1324 requires a party seeking leave to amend to identify the proposed amendments and submit a declaration explaining the effect of the amendment, why the amendment is necessary and proper, when the facts giving rise to the amendment were discovered, and why the request was not made earlier.

Here, Milano substantially complies with rule 3.1324. Counsel submits a declaration attaching both a clean copy of the proposed FAC and a redlined version identifying the proposed additions and deletions. (Fu Decl., ¶¶ 2-3.) Counsel explains that the amendment is necessary to add causes of action and defendants that were omitted from the prior pleading and to further support the claims arising from the same transaction. (Fu Decl., ¶¶ 4-5.) Counsel further states that the amendments are intended to promote judicial efficiency by having all related claims adjudicated in the same action. (Fu Decl., ¶ 6.)

As to timing, Milano states that the facts supporting the proposed amendments were discovered or confirmed only in recent months through discovery, including emails indicating that First American acknowledged the alleged error. (Fu Decl., ¶ 7.) The motion further identifies the June 1, 2026, deposition of Kenneth Tananan as the point at which Tananan authenticated the email relied upon by Milano. (Motion, p. 4.) Milano thereafter filed the present motion on July 10, 2026. (Motion, p. 3.)

Defendants FATC, Premier, and W&B filed oppositions to Milano’s motion.[1]

FATC

FATC argues that leave to assert new claims against it should be denied because Milano lacked diligence in seeking amendment, the delay is prejudicial, and the proposed claims are time-barred and therefore futile. FATC contends Milano knew of both the defective grant deed and FATC’s involvement years before filing the present motion. Specifically, FATC points out that Milano’s agent participated in the September 2022 email exchange concerning the defective deed, Milano knew of the resulting injury by November 2022, and W&B expressly asserted claims against FATC concerning the same alleged conduct in 2024. (FATC Opposition, pp. 6-10.) FATC further argues prejudice because, after it was dismissed from the action, discovery proceeded without its participation, making its reentry into the litigation prejudicial. (Id. at pp. 10-11.)

FATC further argues that the proposed breach of contract, negligence, and indemnification claims are subject to two-year statutes of limitation and accrued, at the latest, by November 2022 or June 2023. FATC contends the claims do not relate

back because Milano was not genuinely ignorant of FATC's identity or involvement and because the new claims concern different duties and instrumentalities from those alleged in the original Complaint. (Id. at pp. 11-14.) FATC also argues the indemnification claim is futile because the Court previously determined FATC had no liability to W&B. (Id. at p. 15.)

Milano replies that it acted diligently because the factual basis for its claims was not confirmed until Tananan authenticated the relevant email at his June 1, 2026, deposition. Milano argues that W&B's earlier allegations against FATC did not require Milano to adopt those allegations without conducting its own discovery. (Reply to FATC, pp. 2-3.)

Premier

Premier argues Milano lacked diligence because it knew of Premier's involvement in the transaction by at least July 2024, when W&B alleged in its First Amended Cross-Complaint that Premier prepared the inaccurate grant deed. Premier contends the June 2026 Tananan deposition did not reveal materially new information because Milano's own agent was included in the September 2022 email exchange upon which Milano now relies. (Premier Opposition, pp. 4-5.)

Premier further argues that the proposed claims are futile. It contends the breach of contract claim fails because the Purchase Agreement was between Milano and W&B and was not signed by Premier as escrow holder. Premier also argues the negligence and indemnification claims are barred by the two-year statute of limitations and do not relate back because Milano knew of Premier's identity and involvement well before seeking amendment. (Id. at pp. 5-7.) Finally, Premier argues it would be prejudiced by having to defend new direct claims and conduct additional discovery at this stage of the litigation. (Id. at p. 7.)

Milano replies that it acted diligently after Tananan's deposition confirmed facts supporting Premier's alleged involvement. Milano argues the proposed claims arise from the same transaction and alleged defective conveyance as the original Complaint and therefore relate back. Milano also contends the merits of Premier's challenge to the contract claim are more appropriately addressed through a pleading challenge after amendment. (Reply to Premier, pp. 2-3.) Finally, Milano disputes prejudice because Premier has remained involved in the litigation as a cross-defendant, participated in discovery, and has sufficient time to conduct any additional discovery before trial. (Id. at pp. 3-4.)

Court's findings

The Court finds Milano has substantially complied with California Rules of Court, rule 3.1324, and has demonstrated sufficient grounds for leave to amend. The proposed amendments arise from the same underlying real estate transaction already at issue and seek to resolve the respective liability of the parties allegedly involved in the preparation, escrow, and recording of the defective grant deed. Allowing the amendments therefore serves judicial economy by permitting the related claims to be adjudicated in a single action.

The Court also finds Milano has provided a sufficient explanation for the timing of the amendment to justify amendment. Milano points to the June 1, 2026, deposition of Kenneth Tananan, during which Tananan authenticated an email concerning FATC's alleged error in the legal description of the subject property. (Motion, p. 4; Fu Decl., ¶ 7.) Although FATC and Premier point out that Milano was aware of their identities and involvement in the transaction before June 2026, Milano maintains that it did not sufficiently confirm the factual basis for its claims until discovery progressed and Tananan authenticated the email. Milano thereafter filed the present motion on July 10, 2026.

Moreover, the fact that Milano previously knew the identities of FATC and Premier does not, by itself, establish that relation back is unavailable. Under Code of Civil Procedure section 474, a plaintiff may be sufficiently ignorant for purposes of a Doe amendment where the plaintiff knows the defendant's identity but is genuinely ignorant of the facts giving rise to a cause of action against that defendant. (*Streicher v. Tommy's Electric Co.* (1985) 164 Cal.App.3d 876, 882-883; *Joslin v. H.A.S. Ins. Brokerage* (1986) 184 Cal.App.3d 369, 376.)

The parties dispute whether Milano possessed sufficient knowledge of the facts giving rise to the proposed claims before the limitations periods expired and whether the proposed claims properly relate back to the original Complaint. These issues implicate the merits of FATC's and Premier's statute of limitations defenses and are more appropriately resolved upon a direct challenge to the amended pleading rather than on the present motion for leave to amend.

Finally, the Court finds that the proposed amendment will not unduly prejudice Defendants. Premier is already a cross-defendant in this action and has participated in discovery. Although FATC was previously dismissed and therefore did not participate in subsequent discovery, Milano represents that it has provided FATC with the written discovery and document production. (Reply to FATC, p. 4.) Further, trial is presently set for March 30, 2027, leaving more than seven months for the parties to conduct additional discovery and prepare their respective defenses.

Therefore, considering California's liberal policy favoring amendment, the absence of demonstrated bad faith or substantial prejudice, and the preference for resolving related claims on their merits, the Court finds leave to amend warranted. In granting leave, the Court expresses no opinion as to the ultimate merits or timeliness of the newly asserted causes of action, and FATC and Premier remain free to challenge those claims as they see fit.

IV. ORDER

The Court GRANTS Milano's motion for leave to file a FAC. The proposed FAC attached to the motion is deemed filed as of the date of this order.

Milano is to give notice.

Dated: August 12, 2026

JARED D. MOSES

JUDGE OF THE SUPERIOR COURT

[1] W&B does not oppose Milano's request for leave to file the FAC or the joinder of FATC and Premier, but requests that the parties' rights to challenge the amended pleading and litigate issues of liability, indemnity, comparative fault, and damages be preserved. Those rights are unaffected by the Court's ruling granting leave to amend.